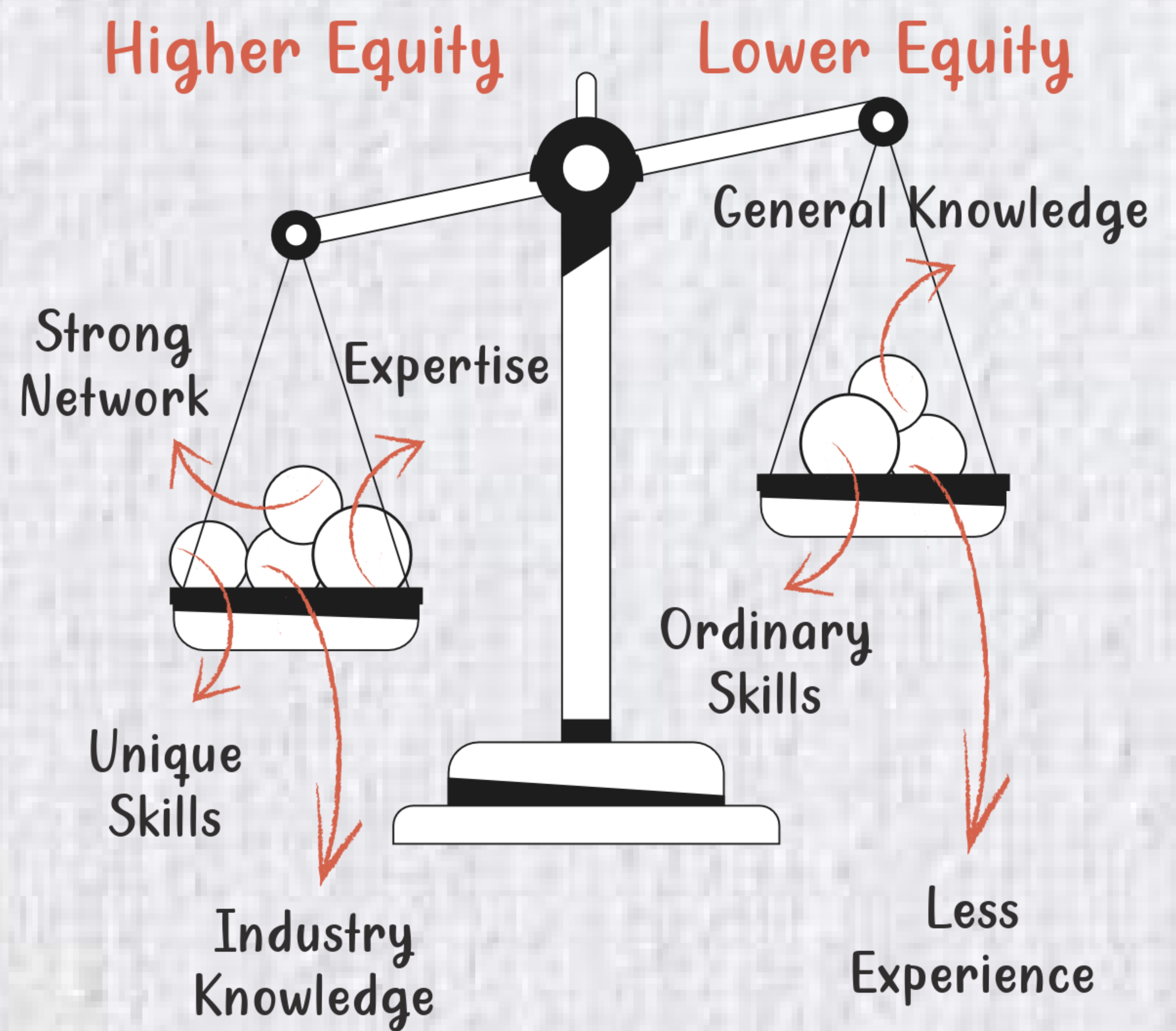


Co-founders, with rare and highly valuable skills such as industry expertise, a strong network, or specialized knowledge, often deserve a higher equity stake due to their unique contributions. Conversely, those with more general skills or limited experience may receive a lower share.



Stable
Job

Risk

4. Salary

Here, if a co-founder receives the same salary as market standards, they may be seen as taking on less risk since they have a stable income stream from the startup.

If they give up a competitive salary to join, it reflects deeper commitment and risk appetite. In such scenarios, it's reasonable to allocate a higher equity stake to compensate for letting go of market standards.

Allocate Higher
Equity to
Compensate